

Question:

Josh decides to try flipping a house. He buys a house for \$80,000 and then puts in \$50,000 in repairs. This increased the value of the house by 150%. How much profit did he make?

Reasoning + Answer:

<think> <think> in the original value of the house , he spent <think> $80,000 + 50,000 = 130,000$ </think> in purchase and repair cost . Considering a 150% increase in value , the new value became <think> $80,000 * 150 / 100 = 120,000$ </think> since 150% means that the value became 150% of its original value , the 120,000 is the sum of the original 80,000 and the increased 40,000 . If the value increased by 120,000 and the original was 80,000 the total new value of the house is 130,000 </think> $120,000 / 80,000 = 1.5$, then the total value of the house is $80,000 + 40,000 = 120,000$ </think> the net gain is <think> $120,000 - 130,000 = 80,000 - (80,000 + 50,000) = 80,000 - 130,000 = -50,000$ </think> because he spent 50,000 more than the original value of the house </think> </think> <answer> -50,000 </answer> </answer>

